

24STCV25536 24STCV25536

County: los-angeles

Division: Civil Law and Motion

Department: 513

Hearing date: 2026-08-18

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Case Number: 24STCV25536 Hearing Date: August 18, 2026 Dept: 513

Superior

Court of California

County

of Los Angeles – Central District

Department 513

Victor Palumbo

, et al.;

Plaintiffs,

vs.

The Den Editorial, LLC

, et al.,

Defendants.

Case No.:

24STCV25536

Hearing Date:

August 18, 2026

Time:

10:00 a.m.

[Tentative] Order RE:

(1) Demurrer
to First Amended Cross-Complaint

(2) Motion
to Strike First Amended Cross-Complaint

MOVING PARTY: Cross-Defendants Victor Palumbo,
Nicole Palumbo, and Hayvenhaus, Inc.

RESPONDING PARTY: Cross-Complainants
The Den Editorial, LLC, Rachel Seitel, and Christjan Jordan

(1) Demurrer
to First Amended Cross-Complaint

(2) Motion
to Strike First Amended Cross-Complaint

The court considered the moving,
opposition, and reply papers filed in connection with this demurrer and motion.

DISCUSSION

Demurrer to First Amended
Cross-Complaint

Cross-Defendants

Victor Palumbo, Nicole Palumbo, and Hayvenhaus, Inc. ("Cross-Defendants") demur
to the third through fifth, seventh, and eighth causes of action in the First
Amended-Cross-Complaint filed by cross-complainants The Den Editorial, LLC,
Rachel Seitel, and Christjan Jordan ("Cross-Complainants").

The

court overrules Cross-Defendants' demurrer to the third cause of action for misappropriation of trade secrets because it states facts sufficient to constitute a cause of action since Cross-Complainants have alleged facts establishing that (1) their internal accounting and profit-share data, banking and payment records, vendor and deal terms, business strategies, and operational processes (i) derive independent economic value from not being generally known to the public or to other persons who can obtain economic value from their use or disclosure (FAXC ¶ 59), and (ii) are the subject of reasonable efforts to maintain their secrecy by a non-disclosure agreement which encompasses those materials (FAXC Ex. B). (Code Civ. Proc., § 430.10, subd. (e); Civ. Code, § 3426.1, subds. (b) [defining misappropriation], (d) [defining trade secret].)

The court

sustains Cross-Defendants' demurrer to the fourth cause of action for fraudulent misrepresentation because the fourth cause of action does not allege any actionable misrepresentation. (Code Civ. Proc., § 430.10, subd. (e); Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974 [elements of fraudulent misrepresentation].) Although Cross-Complainants allege that Cross-Defendants prepared false profit statements for the corporate Cross-Complainant The Den, Cross-Complainants do not allege any party to whom those representations were transmitted, or what injury resulted from any reliance by Cross-Complainants on those representations. (FAXC ¶¶ 67-72.) The allegation that Cross-Complainants "incurred investigative and remediation costs" does not establish detrimental reliance. (FAXC ¶ 73.) Nor is this cause of action rescued by Cross-Complainants' incorporation of generalized allegations that Cross-Defendants breached the NDA. (FAXC ¶¶ 21-23; 38-39, 66.) The operative pleading does not allege what "purposes adverse to The Den" for which Cross-Defendants purportedly used this confidential information. Cross-Complainants' claim that the materials were used to support demands and claims or were filed in this action does not appear on the face of the cross-complaint and, if it were, would be absolutely privileged under Civil Code section 47. (Opposition p. 6:4-7; Code Civ. Proc., § 430.30, subd. (a); Civ. Code, § 47, subd. (b).)

The court

sustains Cross-Defendants' demurrer to the fifth cause of action for conversion as preempted by the California Uniform Trade Secrets Act. (Code Civ. Proc., § 430.10, subd. (e); Civ. Code, § 3426.7; K.C. Multimedia, Inc. v. Bank of Am.

Tech. & Operations, Inc., (2009) 171 Cal. App. 4th 939, 954 [common law claims “based on the same nucleus of facts as the misappropriation of trade secrets claim for relief” are preempted by Civil Code section 3426.7].) The fifth cause of action alleges that Cross-Defendants wrongfully copied confidential information from The Den’s computer systems. (FAXC ¶ 77, see also ¶¶ 21-23.) This same information is the information which is the subject of the third cause of action for misappropriation of trade secrets. (FAXC ¶ 62.) The fifth cause of action is based on the same nucleus of facts as the third cause of action, and is therefore preempted by the UTSA.

The court

sustains Cross-Defendants’ demurrer to the seventh cause of action for interference with prospective economic advantage as preempted by the California Uniform Trade Secrets Act. (Code Civ. Proc., § 430.10, subd. (e); Civ. Code, § 3426.7; K.C. Multimedia, Inc. v. Bank of Am. Tech. & Operations, Inc., (2009) 171 Cal. App. 4th 939, 954 [common law claims “based on the same nucleus of facts as the misappropriation of trade secrets claim for relief” are preempted by Civil Code section 3426.7].) The seventh cause of action is also based on Cross-Defendants’ improper retention of confidential information from The Den’s computer systems. (FAXC ¶ 93.)

The court

sustains Cross-Defendants’ demurrer to the eighth cause of action for aiding and abetting as preempted by the California Uniform Trade Secrets Act. (Code Civ. Proc., § 430.10, subd. (e); Civ. Code, § 3426.7; K.C. Multimedia, Inc. v. Bank of Am. Tech. & Operations, Inc., (2009) 171 Cal. App. 4th 939, 954 [common law claims “based on the same nucleus of facts as the misappropriation of trade secrets claim for relief” are preempted by Civil Code section 3426.7].) Cross-Defendants allege that Nicole Palumbo assisted in the retention and misuse of The Den’s confidential materials. (FAXC ¶ 99.) This is the same nucleus of facts as those alleged in support of the misappropriation of trade secrets claim.

The burden is on

the cross-complainant “to articulate how it could amend its pleading to render it sufficient.”² (Palm Springs Villas II Homeowners Assn., Inc. v. Parth,³(2016) 248 Cal.App.4th 268, 290.)⁴ To satisfy that burden, a cross-complainant “must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading.”⁵ (Goodman v. Kennedy,⁶(1976) 18 Cal.3d 335, 349.)⁷

The court finds that Cross-Complainants have not articulated the facts that they could allege to render their fourth, fifth, seventh, and eighth causes of action sufficient and therefore sustains the demurrer without leave to amend.

Motion to Strike Portions of
First Amended Cross-Complaint

Cross-Defendants move the court for an order striking (1) portions of the First Amended Cross-Complaint pertaining to punitive damages and attorney's fees under Civil Code section 3426.3, and (2) striking the third through fifth, seventh, and eighth causes of action in their entirety.

The court denies the motion to strike as to the fourth, fifth, seventh, and eighth causes of action as moot. The court also denies the motion to strike as to the third cause of action in its entirety because it is not irrelevant, false, improper, or drawn not in conformity with the laws of this state or an order of the court. (Code Civ. Proc., § 436.) Finally, the court denies the motion to strike as to the request for punitive damages and attorneys fees because the cross-complaint, taken as a whole, alleges conduct which can be fairly construed as malicious. (FAXC ¶¶ 21-27; 65; Civ. Code, §§ 3426.3; 3294.)

ORDER

The court SUSTAINS cross-defendants Victor Palumbo, Nicole Palumbo, and Hayvenhaus, Inc's demurrer to the fourth, fifth, seventh, and eighth causes of action in the First Amended Cross-Complaint filed by cross-complainants The Den Editorial, LLC, Rachel Seitel, and Christjan Jordan without leave to amend.

The court OVERRULES cross-defendants Victor Palumbo, Nicole Palumbo, and Hayvenhaus, Inc's demurrer to the third cause of action in the First Amended Cross-Complaint filed by cross-complainants The Den Editorial, LLC, Rachel Seitel, and Christjan Jordan.

The court DENIES cross-defendants Victor Palumbo, Nicole Palumbo, and Hayvenhaus, Inc's motion to strike.

The court orders

cross-defendants Victor Palumbo, Nicole Palumbo, and Hayvenhaus, Inc. to file an answer to cross-complainants The Den Editorial, LLC, Rachel Seitel, and Christjan Jordan's First Amended Cross-Complaint within 10 days of the date of this order.

The court orders cross-defendants

Victor Palumbo, Nicole Palumbo, and Hayvenhaus, Inc. to give notice of this ruling.

IT IS SO ORDERED.

DATED: August 18, 2026

Robert B. Broadbelt III

Judge of the Superior Court